

Contestant Number: _____

Time: _____

Rank: _____



College Accounting (105)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (11 @ 3 points each) _____ (33 points)

Problem 1 – Multi-Step Income Statement _____ (30 points)

Problem 2 – Inventory Entries _____ (32 points)

TOTAL POINTS _____ ***(125 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Abrams reported total assets of \$42,000 and total liabilities at \$16,000. Abrams sold stock for \$15,000. What is the total stockholders' equity after the sale of stock?
 - A. \$41,000
 - B. 26,000
 - C. \$57,000
 - D. \$15,000
2. Which inventory costing method results in the lowest ending inventory during a period of rising merchandise inventory cost?
 - A. Weighted-average
 - B. Specific identification
 - C. First-in, first-out (FIFO)
 - D. Last-in, first-out (LIFO)

3. Monteith Company developed the following information about its inventories in applying the lower-of-cost-or-market (LCM) method in valuing inventories:

Product	Cost	Market
A	\$110,000	\$120,000
B	80,000	76,000
C	155,000	162,000

If Monteith applies the LCM method by individual inventory items, the value of the inventory reported on the balance sheet would be _____.

- A. \$341,000
 - B. \$345,000
 - C. \$358,000
 - D. \$362,000
4. Which account does a merchandiser use that a service company does not use?
 - A. Depreciation Expense
 - B. Supplies Inventory
 - C. Costs of Goods Sold
 - D. Unearned Revenue

5. Financial information for the Lopez Corp. is presented below:

Operating expenses	\$ 45,000
Sales returns and allowances	3,000
Allowance for doubtful accounts	300
Sales discounts	7,000
Purchase allowances	14,000
Sales revenue	160,000
Cost of goods sold	96,000

The amount of net sales on the company's income statement would be _____.

- A. \$153,000
 - B. \$150,000
 - C. \$160,000
 - D. \$157,000
6. Michele Co. uses a perpetual inventory system. On May 1, beginning inventory was \$350,000. During May, Michele purchased \$122,500 of inventory and sold \$248,500 of inventory. After the store closed on May 31, employees counted the inventory in the store and found that \$210,000 of inventory remained unsold. What was Michele's inventory shrinkage?
- A. \$14,000
 - B. \$224,000
 - C. \$262,500
 - D. \$161,000
7. Common control principles include all of the following, except:
- A. Outsource work to third parties
 - B. Segregate of duties
 - C. Independently verify
 - D. Restrict access to assets and information
8. The main purposes of internal controls include all of the following except:
- A. Prevention of error, theft, and fraud
 - B. Promotion of operational efficiency
 - C. Ensuring compliance with laws and regulations
 - D. Providing more favorable financial information

9. Notes Receivable differ from Accounts Receivable in that Notes Receivable _____.
A. are generally considered a weaker legal claim
B. do not have to be created for every new transaction, so they are used more frequently
C. generally charge interest from the day they are signed to the day they are collected
D. are noncurrent assets
10. Assume the Rivera Company uses the allowance method. When the company writes off a customer's account balance that has no chance of collection _____.
A. expenses and revenues will both increase
B. total liabilities will increase
C. total assets do not change
D. total assets will decrease
11. Accounts Receivable has a \$3,450 balance, and the Allowance for Doubtful Accounts has a \$300 credit balance. An \$120 account receivable is written-off. Net receivables (net realizable value) after the write-off equals _____.
A. \$3,270
B. \$3,030
C. \$3,150
D. \$3,330
12. Establishing a note receivable by loaning cash to another company will have which of the following net effects on the accounting equation?
A. No effect on assets; no effect on liabilities; No effect on stockholders' equity
B. Increase assets; No effect on liabilities; Increase stockholders' equity
C. No effect on assets; No effect on liabilities; Decrease stockholders' equity
D. Increase assets; No effect on liabilities; No effect on stockholders' equity
13. On July 1, 2023, Agron Inc. lends \$8,000 to a customer and receives a 9% note due in two years. Interest is due in full on July 1, 2025, the due date of the note. What is the amount of Interest Revenue that will be reported on Agron's income statement for the year ended December 31, 2023?
A. \$420
B. \$720
C. \$360
D. \$1,440

14. . What effect does the adjusting entry for interest earned but yet not received have on the accounting equation?
- A. It results in an increase in assets and liabilities
 - B. It results in an increase in assets and decrease in stockholders' equity
 - C. It results in an increase in assets and stockholders' equity
 - D. It results in a decrease in assets and stockholders' equity
15. Jameson Corporation provides \$16,000 worth of services on account during the month. Experience suggests that about 4% of net credit sales will not be collected. In conformity with the expense recognition principle, the company should _____.
- A. record an estimate of Bad Debt Expense in the same period as the service is provided
 - B. increase the value of its liabilities with an adjustment
 - C. wait until the accounts are determined to be uncollectible before making an entry to record the related Bad Debt Expense
 - D. not report the sales revenue until it collects payment

Short Answer

1. Colfer Inc. has sales of \$42,000, beginning inventory of \$4,900, purchases of \$24,500, and ending inventory of \$3,500.

What is the cost of goods sold?	
---------------------------------	--

2. Morrison Inc. uses the aging of accounts receivable method. Its estimate of uncollectible receivables resulting from the aging analysis equals \$5,000. At the end of the year, the balance of Accounts Receivable is \$100,000 and the unadjusted debit balance of the Allowance for Doubtful Accounts is \$500. Credit sales during the year totaled \$150,000.

What is the estimated Bad Debt Expense for the current year?	
What will be the balance in Allowance for Doubtful Accounts?	

3. Anderson Co. uses the percentage of credit sales method in determining its bad debt expense. The following information comes from the accounting records of Anderson Co.:

Cash sales	\$300,000
Credit sales	1,200,000
Total sales	1,500,000
Credit balance in the Allowance for Doubtful Accounts	7,500
Bad debt loss rate	3%

What is the estimate of bad debt expense?	
What will be the balance in Allowance for Doubtful Accounts?	

4. Pierce Inc. is trying to decide whether to purchase identical inventory from one of the following suppliers:

	Supplier A	Supplier B
Cost	\$200	\$220
Invoice terms	2/10, n/30	1/10, n/30
Shipping terms	FOB destination	FOB shipping point
Shipping cost	\$24	\$ 20

Assume the company will pay within the discount period. What is the actual cost of the inventory if purchased from each supplier?

Supplier A	Supplier B

5. McGinty Company sells many products. The widget is one of its popular items. Below is an analysis of the inventory purchases and sales of the widget for the month of March. McGinty Company uses the perpetual inventory system.

		Purchases		Sales	
		Units	Unit Cost	Units	Selling Price/Unit
3/1	Beginning inventory	100	\$40		
3/3	Purchase	60	\$50		
3/4	Sales			60	\$80
3/10	Purchase	200	\$55		
3/16	Sales			70	\$90
3/19	Sales			90	\$90
3/25	Sales			60	\$90
3/30	Purchase	40	\$60		

Calculate the cost of goods available for sale	
Using the FIFO assumption, calculate the amount charged to cost of goods sold for March	
Using the weighted-average method, what was the cost per unit after the 3/3 purchase?	
Using the LIFO assumption, calculate the amount assigned to the inventory on hand on March 31.	

Problem 1: Multi-Step Income Statement (30 Points)

Prepare Murphy Corporation's multi-step income statement for the year ended December 31, 2023 from the Adjusted Trial balance below. Murphy Company has an effective income tax rate of 40%.

Accounts Payable	\$18,300
Accounts Receivable	17,200
Accumulated Depreciation –Equipment	20,000
Cash	90,200
Common Stock	35,000
Cost of Goods Sold	633,300
Depreciation Expense	13,500
Dividends	12,000
Equipment	57,000
Insurance Expense	9,000
Interest Expense	5,000
Inventory	36,200
Notes Payable	47,500
Prepaid Insurance	6,000
Rent Expense	29,000
Retained Earnings	14,200
Salaries Expense	110,000
Sales Discounts	20,000
Sales Revenue	914,000
Utilities Expense	10,600

Net Sales	
Gross Margin	
Total Operating Expenses	
Income from Operations	
Income Before Taxes	
Net Income	

Problem 2: Inventory Entries (32 points)

Two different companies, Green Corp., and Purple Inc., entered the following inventory transactions during December. Both companies use a perpetual inventory system and the gross method for purchases and sales.

Prepare the journal entries to record these transactions on the books of Green Corp.

December 3 – Green Corporation sold inventory on account to Purple Inc. for \$240,000, terms 2/10, n/30. This inventory originally cost Green \$160,000.

Date	Account Description	Debit	Credit

December 8 – Purple Inc. returned inventory to Green Corp. for a credit of \$15,000. Green returned these items to inventory at their original cost of \$10,000.

Date	Account Description	Debit	Credit

December 12 – Purple Inc. paid Green Corp. for the amount owed.

Date	Account Description	Debit	Credit

What is the amount of net sales to be reported on Green Corp.'s income statement?	
What is the Green Corp.'s gross profit percentage? (Round to two decimal places)	